The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Donald Trump said he “knew nothing” about **Israeli** strikes on the **Iranian** segment of the South Pars gas field. In response to the attack, Iran struck Ras Laffan, Qatar’s main energy hub. America’s president said he would “massively blow up” South Pars if Iran struck Qatar again. Brent crude, the global oil benchmark, jumped above $110 a barrel after Iran’s attack, which QatarEnergy said caused “extensive damage”.

The Bank of Japan left its key short-term interest rate unchanged at 0.75%, as expected. Policymakers said they would keep an eye on the war in the Gulf, which added to its list of economic risks. The BOJ last raised rates in December, to their highest level in 30 years. That ought to lure return-hungry capital and strengthen the currency, but the yen is still weak.

Earlier the **Federal Reserve** also left its benchmark interest rate unchanged at 3.5-3.75%. It noted that developments in the Middle East had “uncertain” implications for America’s economy. Jerome Powell, the central bank’s chair, said that oil shocks would boost inflation in the short term. This week Australia’s central bank decided to hike rates, while Indonesia’s opted to hold.

Pakistan and **Afghanistan** said they would pause fighting to mark the Eid al-Fitr holiday at the request of Saudi Arabia, Turkey and Qatar. Officials said the reprieve would last from Thursday to Monday. Conflict has raged since last month. The Pakistani government accuses the Taliban, the militant group that runs Afghanistan, of supporting its ideological cousins across the border.

Xiaomi, a Chinese tech giant, claimed it was behind a mysterious artificial-intelligence model that appeared on a developer platform last week. The industry had speculated that the model's creator was **DeepSeek**, a Chinese startup whose cheap-but-powerful chatbot caused a global tech-stocks sell-off when it was unveiled last year. DeepSeek's new version is yet to be released.

Costa Rica closed its embassy in **Cuba**. Rodrigo Chaves, Costa Rica's president, said his government did not recognise the legitimacy of Cuba's Communist regime and criticised its "repression". Mr Chaves is an ally of Mr Trump, whose oil blockade on Cuba has deepened the island's energy crisis, plunging it into blackouts.

Pop Mart announced plans to release a feature film based on its **Labubu** dolls. The Chinese firm has become the world's most valuable toymaker thanks to the global craze for the "ugly-cute" critters. The movie will add to a franchise that already includes a Labubu theme park and television show. It will be made with Sony Pictures and directed by Paul King, the film-maker behind Paddington.

Figure of the day: 650,000, the number of barrels of oil that Africa's largest refinery complex can process per day. Read the full story.

Photograph: Reuters

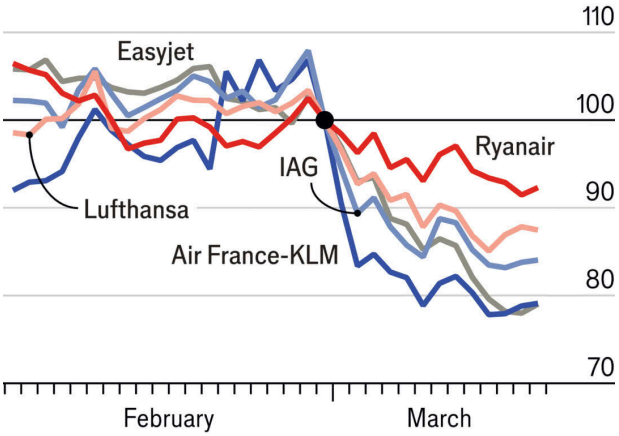
Why war in the Gulf is disrupting airlines elsewhere

The bosses of Europe's airlines jet into Brussels on Thursday to discuss their industry. The main topic will surely be the Middle East, vital for the flow of passengers as well as oil. Cities like Doha and Dubai act as mid-points between America, Asia and Europe, contributing to the success of local carriers like Emirates, Etihad and Qatar Airways. These "super-connectors" are struggling to restore even limited services, because their hub airports are targets for Iranian drones.

Airlines in Europe are not flying high, either. The oil shock has doubled the price of jet fuel—particularly bad news for cheap carriers like EasyJet, for whom it is a higher proportion of costs. Some, like Ryanair, are more sheltered for now because of how they hedge against price increases. And legacy airlines like British Airways (part of IAG) have scooped up some of the Gulf carriers' frequent fliers outside the Middle East. But the mood in Brussels will be downcast.

Nosedive

Biggest European airline groups, share prices
February 27th 2026=100



Source: LSEG Workspace

Photograph: ECB/Xinhua News Agency/eyevine

The ECB will try to reassure markets

In February euro-paying citizens were finally enjoying stable inflation rates of around 2%, the European Central Bank's target. But war in the Gulf now threatens to push inflation back up to uncomfortable levels. When the ECB's governing council meets on Thursday, it faces the tricky task of soothing markets without raising rates.

It may soon have to. Christine Lagarde, the ECB's president, has promised to "do all that is necessary to ensure inflation is under control" throughout and after the conflict. Markets are expecting two quarter-point rate increases, to 2.5%, in 2026. If oil prices average $140 a barrel for two months—a severe but plausible scenario—inflation in the euro zone could surpass 4%, according to Oxford Economics, a research firm. But Europe's economy is not suffering from shortages of labour and equipment, as it was during the inflation shock caused by Russia's invasion of Ukraine. The ECB would do well to wait and see how energy prices evolve.

Photograph: Getty Images

A fraught end to Ramadan in Lebanon

Thursday evening marks the end of Ramadan and the start of the Eid al-Fitr holiday. But there will be little celebration in Lebanon, which is in the third week of a conflict with Israel that few Lebanese wanted. More than 900 Lebanese have been killed and 1m displaced since March 2nd, when Hizbullah, a Shia militia and political party, fired a volley of rockets at Israel. On Wednesday morning a series of Israeli air strikes hit central Beirut; one toppled an entire building. There are growing fears that Israel plans to occupy a swathe of south Lebanon.

The last war between Israel and Hizbullah ended with a fragile ceasefire in November 2024, but Israel kept up near-daily attacks on the militant group. Hizbullah's popularity, once high, is at a nadir in Lebanon. Even its Shia constituents are frustrated: they have received little help rebuilding homes and businesses destroyed in the previous war. Now they have been dragged into another one.

Illustration: David Simonds

Takaichi is in a tight spot

Japan’s prime minister is in Washington on Thursday for her second meeting with America’s president. When Takaichi Sanae hosted Donald Trump in Tokyo last October the pair hailed a new “golden age” in their countries’ relations. This meeting will be thornier. Ms Takaichi is the first leader of a major American ally to face Mr Trump in person since he demanded help to reopen the Strait of Hormuz. Most, including Japan, have not offered up such support. Mr Trump has since lashed out at them for dodging his draft. He claims that America does not “need or desire” their assistance anyway.

The Japanese navy could, theoretically, help unstopper the strait: it has minesweepers capable of clearing the explosives America accuses Iran of laying. But Japan’s pacifist constitution makes deploying them now extremely difficult. Ms Takaichi has hinted at exploring what “can be done” within those “bounds”. Any military support for America’s war would probably prove explosive at home.

Photograph: Prime Video

A reality show gets the last laugh

The title of "LOL: Last One Laughing", a reality-TV show, sounds silly. The rules are simple: ten comedians are locked in a room together for six hours and must try to make each other laugh while keeping a straight face. But the format is seriously popular and has been reproduced in 30 countries, from Albania to Australia.

In 2025 the British version was one of Amazon Prime Video's biggest hits in the country. The second season of Britain's "LOL" begins on Thursday and promises to be excellent fun. The cooped-up comedians include David Mitchell, Alan Carr and Bob Mortimer (last season's victor). Viewers should expect gags, quips and plenty of pained expressions as the contestants try to suppress their mirth. Meanwhile the comedy buffs behind "Saturday Night Live UK", which launches in Britain this weekend, will be hoping for a similarly cheery reaction from fans. After all, laughter is contagious.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: What word is used for a demand that must be met within a set period of time?

Wednesday: Which actor played Ken in the Barbie live action movie?

If it is a mistake of the head and not the heart don’t worry about it, that’s the way we learn.

Earl Warren